

Z · II · X

CAPITAL

Updated Bittensor Treasury & Private
Equity Acquisition Strategy

CONFIDENTIAL STRATEGIC REPORT · UPDATED JUNE 2026

STRATEGY

Hybrid PE + Digital Treasury

PRIMARY ASSET

Bittensor (TAO)

MODEL

LBO + Treasury Flywheel

01 · UPDATED MARKET POSITION

TAO & Digital Asset Landscape

Data refresh: TAO price \$228.93, market cap \$2.53B, 24H volume \$327.6M, circulating supply 11.04M, max supply 21.0M, estimated staking reward rate 16.57%, staking ratio 75.86%, and staked balance approximately 8.4M TAO.

SOURCES: COINMARKETCAP LIVE MARKET DATA, COINBASE STAKING DATA. FIGURES CHANGE IN REAL TIME.

TAO PRICE

\$228.93

Updated market price · June 2026

MARKET CAP

\$2.53B

Live market capitalisation

SUPPLY STAKED

75.86%

Of eligible TAO currently staked

NATIVE APY

16.57%

Estimated annual staking reward rate

24 H VOLUME

\$327.6M

Reported 24-hour trading volume

CIRCULATING SUPPLY

11.04M

Current circulating supply

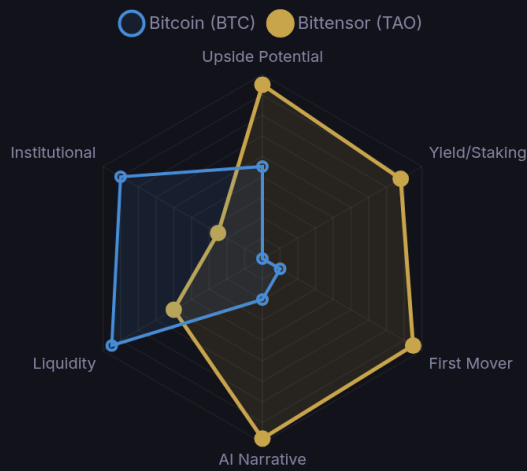
TAO Price Projection 2026–2030

Scenario projections refreshed from the current TAO price anchor



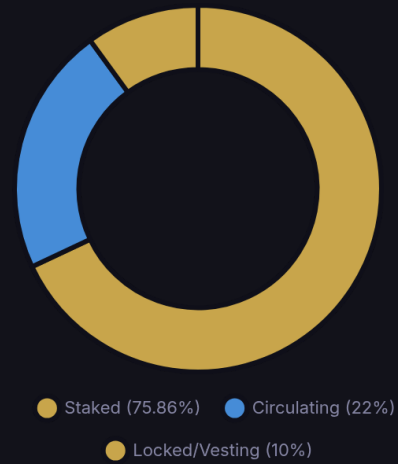
TAO vs BTC — Narrative Comparison

Positioning Z-II-X Capital in unclaimed territory



Supply Distribution

Current staking ratio and remaining eligible supply



SECTION 02 — BUSINESS MODEL

02 · THE THREE PILLARS

Z-II-X Capital Architecture

Z-II-X Capital operates as a next-generation hybrid investment company — combining the discipline of classic private equity, systematic trading, and digital asset treasury accumulation. Four interlocking pillars drive the model.

Synthex Forge Engine: Z-II-X Capital also generates profit through Synthex Forge, a multi-agent systematic trading pipeline built using Nous Research's Hermes Agent. It replaces discretionary trading with a systematic, multi-strategy engine that operates 24/7 under statistical validation, correlation diversification, and institutional risk controls.



PILLAR ONE

Digital Asset Treasury

Hold Bittensor (TAO) as the primary reserve asset and Bitcoin as secondary. Accumulate continuously using cash



PILLAR TWO

Leveraged Buyouts

Acquire small to mid-size businesses using disciplined transaction structures. Target companies with resilient cash

flows from operating businesses and systematic trading profits. Treasury growth strengthens the entire platform.

flows, operational improvement potential, and the ability to support long-term capital compounding.



PILLAR THREE

SME Acquisitions

Acquire durable operating businesses with loyal customers, recurring or repeatable revenue, and low capital intensity. Improve systems, reporting, execution, and management discipline post-acquisition.



PILLAR FOUR

Systematic Trading

Generate profits through Synthex Forge, the flagship systematic trading company. Built on Nous Research's Hermes Agent, it replaces discretionary trading with a 24/7 multi-agent, multi-strategy engine where each strategy is statistically validated, correlation-diversified, and institutionally risk-managed.

The Z.II·X Capital Flywheel

1

Acquire Businesses — Build a portfolio of durable operating companies with repeatable cash flow



2

Run Synthex Forge — Generate systematic trading profits through a Hermes Agent-powered, 24/7 multi-agent, multi-strategy engine



3

Validate & Manage Risk — Each strategy is statistically validated, correlation-diversified, and institutionally risk-managed



4

Deploy Surplus Cash Flow — Operating profits and systematic trading profits fund TAO accumulation



5

Stake TAO — Compound treasury assets through native staking and disciplined reserve management



6

Reinvest Into Scale — More treasury strength, more acquisition capacity, more systems, more compounding

Revenue Stream Composition

Projected revenue distribution across non-dividend income channels at maturity



SECTION 03 — ACCUMULATION STRATEGY

03 · TAO ACCUMULATION METHODS

Six Pathways to Treasury Growth

#	METHOD	MECHANISM	PRIORITY	STATUS
01	Direct Market DCA	Fixed weekly/monthly buys on Coinbase Institutional or Kraken Pro	Primary	Active Day 1
02	Native Staking	16.57% APY — stake all holdings, auto-compound rewards	Primary	Active Day 1

#	METHOD	MECHANISM	PRIORITY	STATUS
03	Validator Delegation	Delegate TAO to subnet validators, earn network emissions	Secondary	Phase 2
04	Cash Flow Conversion	30% of all acquisition cash flows converted to TAO monthly	Core Engine	Post-Acquisition
05	Grayscale GTAO ETF	Hold GTAO shares for regulated, custodied TAO exposure	Secondary	Pending SEC
06	OTC Block Purchases	Large off-market buys via Coinbase Prime or Genesis OTC	Institutional	Phase 3+

Staking Yield Growth at 16.57% APY

Estimated annual TAO rewards across treasury sizes using the current reward-rate anchor

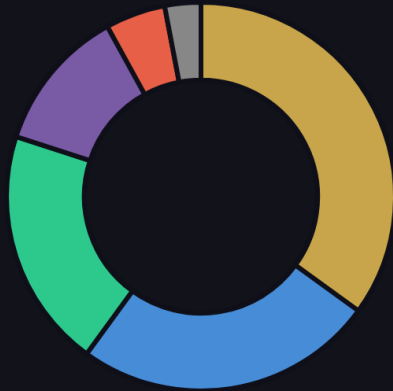


Accumulation Methods by Impact

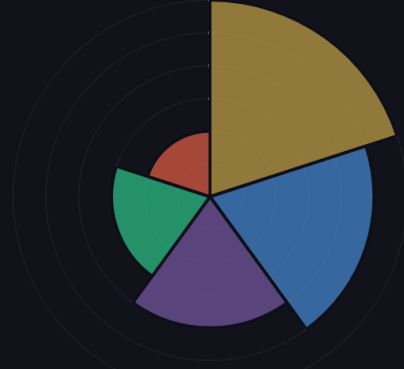
Relative contribution to treasury growth

Treasury Security Layers

Multi-layered custody protocol allocation



● Cash Flow Conversion
 ● DCA Purchases
 ● Staking Rewards
 ● OTC Purchases



● Cold Storage
 ● Multi-Sig
 ● Inst. Custody
 ● Segregated Wallets
 ● Insurance

SECTION 04 — GROWTH ROADMAP

04 · TAO ACCUMULATION ROADMAP

Five Phases to Treasury Dominance

PHASE 1 · MONTH 1-3

Seed — 25 TAO

Incorporate Z-II-X Capital. Open corporate treasury account. Begin DCA strategy. Purchase initial 25 TAO. Set up cold storage and multi-sig security. Stake immediately at 16.57% APY.

PHASE 2 · MONTH 3-12

Build — 100 TAO

Continue disciplined accumulation from operating income and systematic trading profits. Reinvest staking rewards. Validate Synthex Forge live performance and identify the first acquisition target.

PHASE 3 · YEAR 1-2

Scale — 1,000 TAO

Flywheel activated. Synthex Forge contributes systematic trading profits while the acquisition pipeline begins generating operating cash flow. Validator delegation and treasury governance are formalised.

PHASE 4 · YEAR 2-3

Institutional — 10,000 TAO

OTC accumulation and institutional custody activated. Private treasury governance, reporting, and risk controls mature. Z·II·X Capital remains private, selective, and focused on long-term compounding.

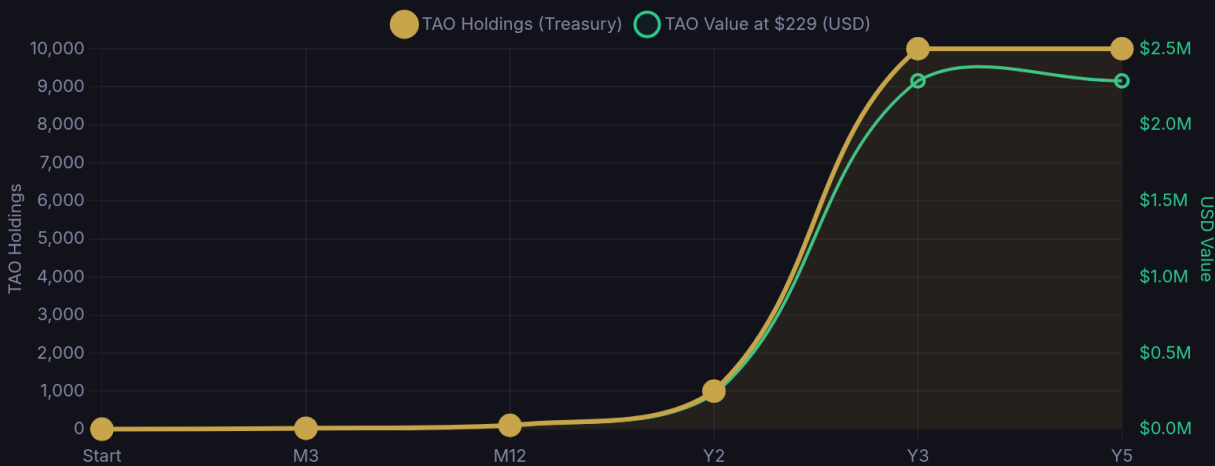
PHASE 5 · YEAR 3-5

Private Treasury — 10,000+ TAO

Full flywheel compounding at scale. Z·II·X Capital operates as a private capital holding company with disciplined treasury management, systematic trading profits, selective acquisitions, and long-term reserve accumulation.

TAO Treasury Growth Projection

Cumulative TAO holdings across all five phases including staking compound effect



SECTION 05 — CAPITAL STRUCTURE

05 · CAPITAL STRUCTURE & SECURITY

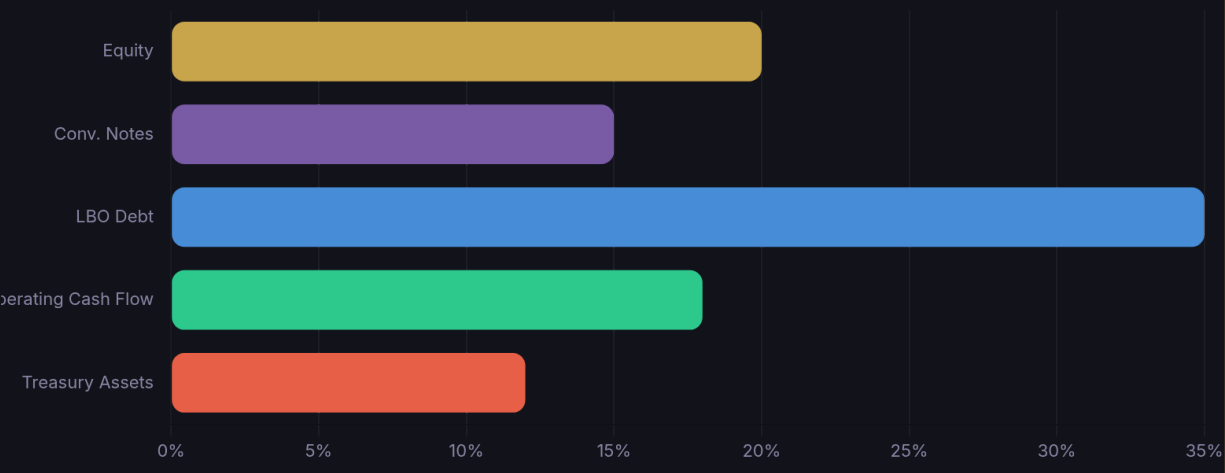
How Z·II·X Capital Is Built

LAYER	INSTRUMENT	PURPOSE
Equity	Private and generated capital	Fund operations, acquisitions, treasury accumulation, and system development
Conv. Notes	Debt convertible to equity	Fund treasury TAO purchases

LAYER	INSTRUMENT	PURPOSE
LBO Debt	Senior secured loans	Fund business acquisitions
Cash Flows	From operating businesses	Accumulate digital assets monthly
Treasury	TAO and BTC holdings	Collateral for future capital raises

Capital Structure Allocation

Illustrative capital deployment across all five layers at initial raise



SECURITY LAYER	METHOD	PURPOSE
Cold Storage	Ledger or Trezor hardware wallet	Primary treasury vault — offline, unhackable
Multi-Sig	2-of-3 key requirement	Prevents single point of failure
Inst. Custody	Coinbase Custody or BitGo	For holdings above \$1M USD
Segregated	Separate wallets per fund	Clean accounting and audit trail
Insurance	Lloyd's of London crypto policy	Protection against theft or loss

"Accumulate relentlessly. Stake everything. Never sell. Let the flywheel compound."

— Z·H·X CAPITAL TREASURY PHILOSOPHY

06 · THE MICROSTRATEGY BLUEPRINT

What They Proved. What We Build Next.

MicroStrategy evolved from a conventional enterprise software vendor into the world's first Bitcoin Treasury Company — its valuation almost entirely decoupled from software fundamentals and moving in tandem with Bitcoin. Z-II-X Capital follows this proven model and goes further.

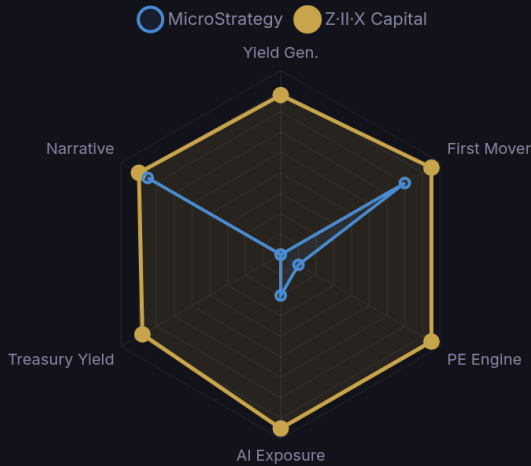
MicroStrategy Model Evolution

From software company to \$100B+ treasury vehicle



Z-II-X vs MicroStrategy Model

Key differentiators across six dimensions



DIMENSION	MICROSTRATEGY	Z-II-X CAPITAL
Primary Asset	Bitcoin (BTC)	Bittensor (TAO)
Narrative	Digital Gold Treasury	Decentralised AI Treasury
Operating Engine	Enterprise Software	LBO & SME Acquisitions
Yield Generation	None — BTC does not stake	16.57% APY via staking
Lane	Claimed — fully occupied	Unclaimed — first mover

Upside Potential

Established, lower beta

Earlier stage, higher asymmetry

DATA NOTE

Market Data Disclaimer

This report uses refreshed public market and staking figures for Bittensor. Crypto prices, market capitalisation, trading volume, staking ratios, and reward rates move continuously. This document is for strategic presentation and internal planning only; it is not investment advice.

Z·II·X

CAPITAL · CONFIDENTIAL STRATEGIC REPORT · UPDATED JUNE 2026
ACCUMULATE RELENTLESSLY · STAKE EVERYTHING · NEVER SELL · LET THE FLYWHEEL COMPOUND